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China Consumer

Tourism: Still-Resilient Leisure Travel Demand During Dragon Boat Festival

CITI'S TAKE

Despite rainy weather, China domestic tourism demonstrated a resilient trend during the 3-day Dragon Boat Festival (19-21 Jun), with domestic tourist number/tourism revenue growing by 4.4%/4.0% yoy, respectively, according to the Ministry of Culture and Tourism. This came above our expectations given a slight decline in nationwide passenger throughput per Ministry of Transportation. Chinese outbound travel reverted to positive growth during the holiday while inbound travel continued to trend well. While macro and weather uncertainty may linger, we expect that resilient leisure travel demand, solid inbound travel momentum, and normalized industry supply should continue to underpin hotel RevPAR trends in China, especially on ADR strength. **Atour** remains our top Buy, with its underappreciated earnings resilience against RevPAR volatility and sustained retail strength.

Domestic tourism — According to the Ministry of Culture and Tourism, the domestic tourist number amounted to 124m person times during the 3-day Dragon Boat Festival, up 4.4% yoy. Domestic tourism revenue grew by 4.0% yoy to Rmb44.456bn, with per-capita spend marginally down 0.4% yoy (Figure 1). The discrepancy vs. the traffic momentum illustrated by the Ministry of Transportation, in Citi's view, could be due to less travel demand for non-tourism purposes given the rainy weather while leisure travel demand stayed resilient. According to the Ministry of Transportation, nationwide passenger throughput totaled 648m person times during the holiday, down 0.9% yoy, mainly dragged by -2.1% yoy in self-drive which accounted for 74% of total passenger throughput and -1.8% yoy in waterway. Railway/road/air passenger increased by +2.9%/+2.7%/+0.6% yoy.

Lodging & Hainan Duty Free — 1) **Lodging**: We observed a divergent RevPAR trend across different regions (i.e., Shanghai saw +1.6% yoy in OCC). We expect Atour to outperform with positive RevPAR growth during the holiday with improvement in both OCC and ADR. 2) **Hainan Duty Free**: Hainan offshore duty-free sales grew in line, +8.6% yoy to Rmb202m during the Dragon Boat Festival per Haikou Customs, mainly driven by +11.2% yoy in number of buyers while per-capita spend dropped by 2.3% yoy to Rmb5,961 (Figure 6).

Outbound and Inbound tourism — According to the National Immigration Administration, average daily cross-border traffic volume rose by 12.9% yoy to 2.2m person times during Dragon Boat Festival, with +5.5% yoy in mainland Chinese, +18.4% yoy in HK and Macau and Taiwan residents and +23.3% yoy in foreigners (Figure 7). Inbound foreigners under visa-free policy rose 15.2% yoy.

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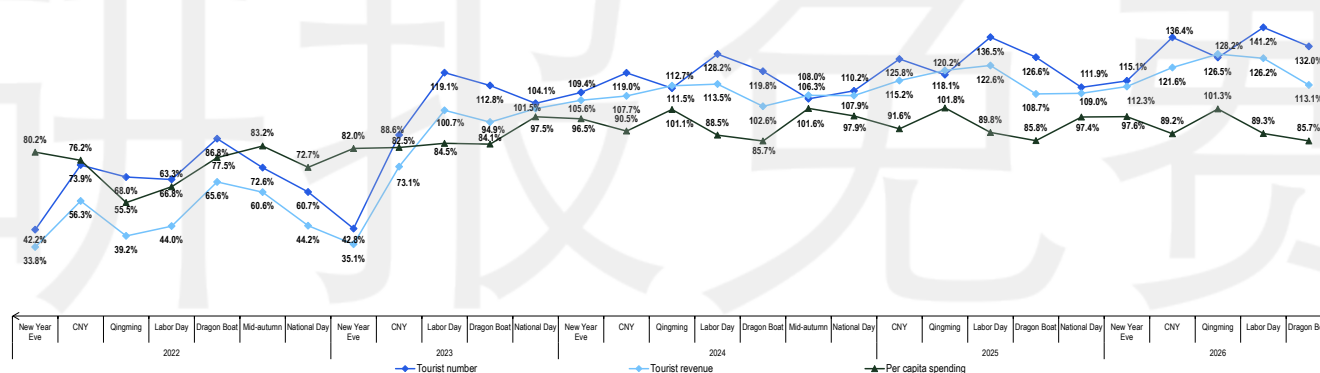
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Figure 1. Golden Week Domestic Tourist Number & Revenue as % of 2019

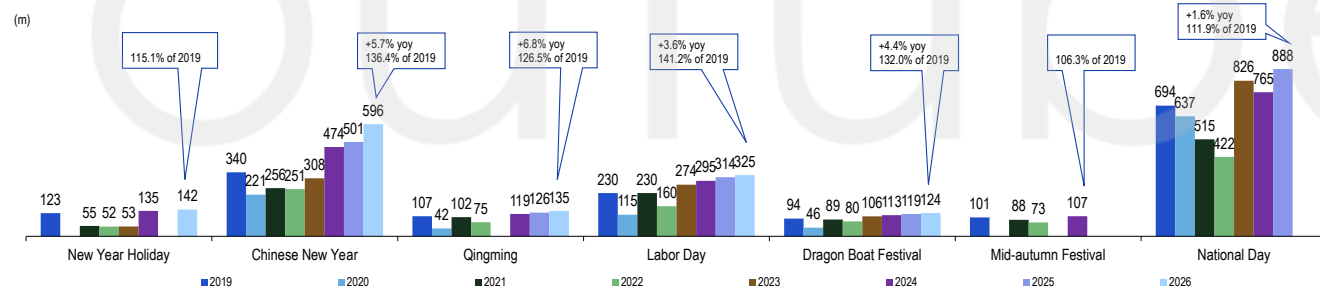


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Note: 2026 CNY & 2025 National Day Holiday momentum calculated on avg daily basis

Source: Citi Research, Ministry of Culture and Tourism

Figure 2. Golden Week Domestic Tourist Numbers

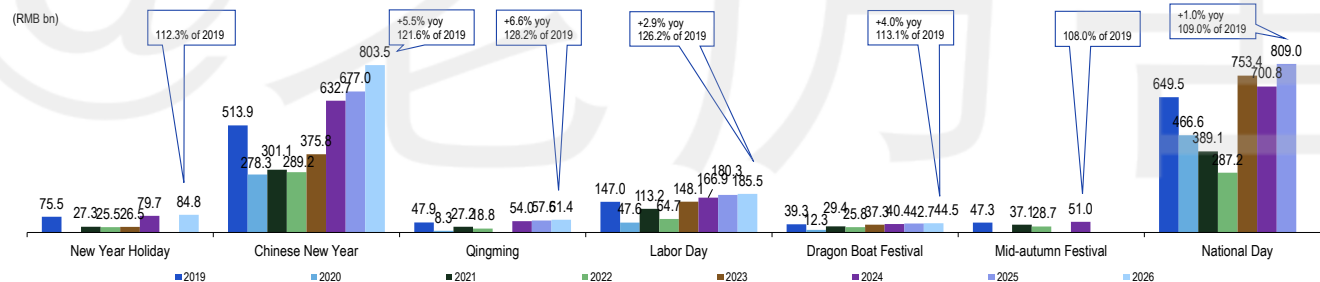


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Note: 2026 CNY & 2025 National Day Holiday momentum calculated on avg daily basis

Source: Citi Research, Ministry of Culture and Tourism

Figure 3. Golden Week Domestic Tourism Revenue

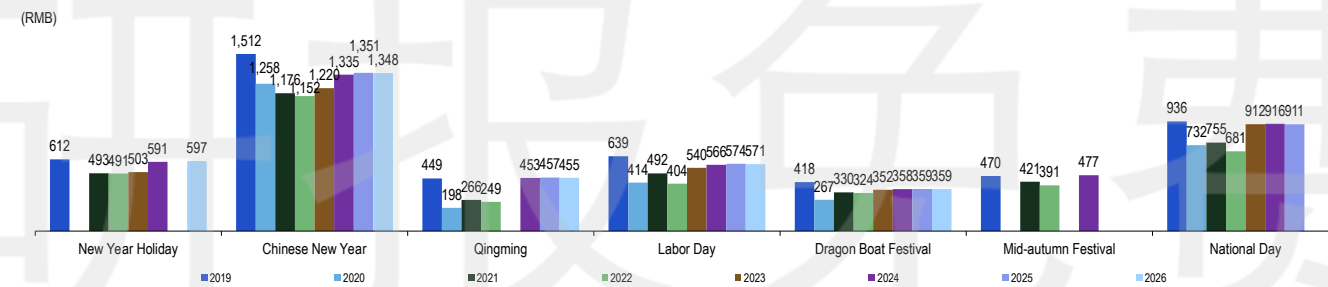


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Note: 2026 CNY & 2025 National Day Holiday momentum calculated on avg daily basis

Source: Citi Research, Ministry of Culture and Tourism

Figure 4. Golden Week Domestic Tourist Per-Capita Spending



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Source: Citi Research, Ministry of Culture and Tourism

Figure 5. Nationwide Passenger Throughput

YoY		Total	Self-drive	Road	Railway	Flight	Waterway
2026 Dragon Boat Festival							
Day1	19-Jun	0.2%	-1.2%	3.4%	6.9%	0.0%	-10.1%
Day2	20-Jun	-1.8%	-2.9%	1.7%	2.0%	-2.6%	0.8%
Day3	21-Jun	-1.2%	-2.4%	3.1%	-0.5%	3.9%	5.4%
Total		-0.9%	-2.1%	2.7%	2.9%	0.6%	-1.8%

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Source: Citi Research, Ministry of Transport

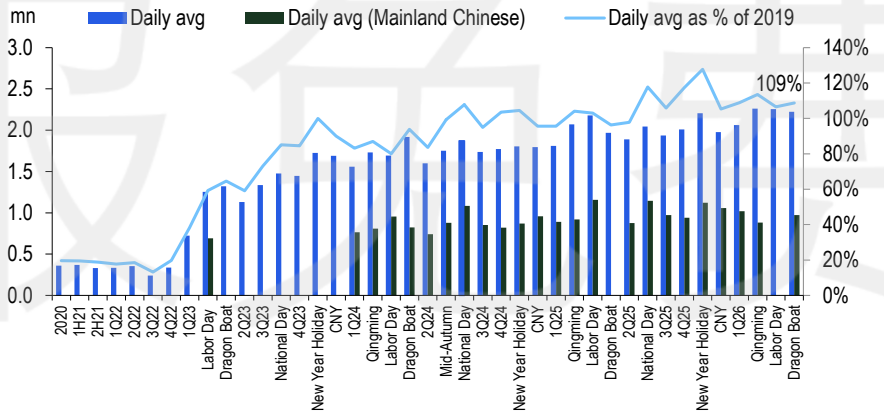
Figure 6. Hainan Duty-Free Golden Week Performance

	Duty-free revenue	YoY	Number of buyers	yoy	Per capita spending	yoy	Daily revenue
	Rmb m		'000		Rmb		Rmb m
Hainan DFS							
2025 Dragonboat Festival (Jun 19-21)	202	9%	35	11%	5,821	-2%	67
2026 Labor Day (May 1-5)	554	10%	85	7%	6,548	3%	111
2026 Qingming Festival (Apr 4-6)	279	15%	48	20%	5,861	-4%	93
2026 Chinese New Year (Feb 15-23)	2,720		325		8,369		302
2026 New Year Holiday (Jan 1-3)	712	129%	84	61%	8,527	43%	237
2025 Dragonboat Festival (May 31 - Jun 2)	187	-9%	31	-19%	5,974	12%	62
2024 Dragonboat Festival (Jun 8-10)	205	-21%	39	-12%	5,311	-11%	68
2023 Dragonboat Festival (Jun 22-24)	260		44		5,950		87

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Source: Citi Research, Haikou Customs

Figure 7. China Inbound and Outbound Traffic as % of 2019



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Source: Citi Research, National Immigration Administration

Atour Lifestyle Holdings Ltd

(ATAT.O; US\$33.29; 1; 18 Jun 26; 16:00)

Valuation

Our US\$48.0 target price for Atour is based on 14x 26E EV/EBITDA, set at 10% above China's hotel sector average, which we think is justified by the company's faster growth, product competitiveness (particularly in the upper midscale segment), and business resilience.

Risks

Our quant model rates the Atour stock High Risk for its volatility, but we believe it is unwarranted given the better visibility on recovery after China's reopening, and the company's improving operating capability and earnings resilience.

Key downside risks that could impede the stock from reaching our target price include: 1) travel-related impact from natural disasters or pandemic (e.g., COVID-19); 2) a prolonged economic downturn; 3) intense competition with both domestic and international hotels; 4) failure to expand or delays in new openings; and 5) regulation risks.

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Appendix A-1

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Atour Lifestyle Holdings Ltd (ATAT)

Ratings and Target Price History
Fundamental Research

Analyst: Lydia Ling



Date	Rating	Target Price	Closing Price
1 17-Aug-23 22:16:21	1	*27.50	22.00
2 16-Nov-23 14:59:26	1	*28.60	19.12
3 23-May-24 15:39:54	1	*29.30	17.51
4 29-Aug-24 14:34:07	1	*29.50	18.72
5 19-Nov-24 14:02:00	1	*30.50	25.55

*Indicates Change

Date	Rating	Target Price	Closing Price
6 18-Feb-25 10:29:13	1	*35.80	31.96
7 25-Mar-25 15:35:14	1	*36.50	28.96
8 22-May-25 21:54:45	1	*38.00	32.86
9 26-Aug-25 13:25:34	1	*43.00	37.15
10 25-Nov-25 12:41:08	1	*45.00	37.16

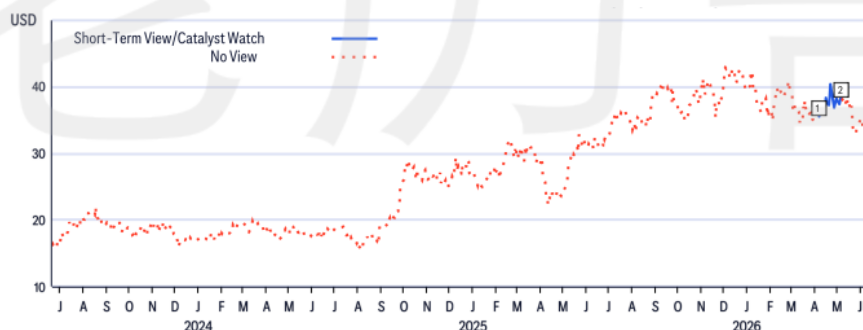
Date	Rating	Target Price	Closing Price
11 17-Mar-26 16:03:31	1	*46.50	37.03
12 22-Apr-26 10:09:38	1	*47.00	40.41
13 13-May-26 13:47:24	1	*48.00	37.06

Rating/target price changes above reflect Eastern Time

Atour Lifestyle Holdings Ltd (ATAT)

Short-Term View/Catalyst Watch Research

Analyst: Lydia Ling



Date	Action	Expected Direction	Duration	Closing Price
1 07-Apr-26 08:07:52	Add CW	Upside	30 Days	35.54

Date	Action	Expected Direction	Duration	Closing Price
2 07-May-26 12:18:04	Remove CW	Upside	30 Days	38.23

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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